Block-4

CSR IMPLEMENTATION AND SUSTAINABILITY

BLOCK 4 CSR IMPLEMENTATION AND SUSTAINABILITY

This block covers the topics such as the implementation of CSR policies, its reporting and auditing process, roles & responsibilities of CSR department and sustainable development. Reporting and Auditing process of CSR focuses on aspects laid down under CSR Rules 2014 (The Companies Act 2013). Then, the formation and functioning of CSR department, the roles and responsibilities of board regarding CSR, tax issues of CSR etc. have been discussed. In the last unit of the block, the concept of sustainable development in relation to CSR and various related concepts such as social audit, ethics etc. have also been discussed.

Unit 12 introduces the topics of sustainable reporting & CSR reporting and their importance for different stakeholders. Then, the methods, tools and techniques of CSR & sustainable reporting have been explained. Further, some reporting patterns followed by big companies in India have been discussed. Then, CSR reporting and auditing process laid down by CSR Rules 2014 (The Companies Act 2013) have been explained in detail. Another concept and guidelines of Business Responsibility Reporting (BRR) 2011 has also been discussed.

Unit 13 discusses the formation of CSR committee under Section 135 of The Companies Act 2013. Further, Section 2 (10), which lays down guidelines regarding roles and responsibilities of Board, have been explained. Then, the activities which can be included for CSR purpose under Schedule VII of The Companies Act 2013 have been listed. Some examples of companies and their efforts regarding CSR have been explained. Further, topics such as Tax issues in CSR, Make & Buy decisions and annual reporting have also been explained.

Unit 14 explains the concept of Sustainable development in detail and then key challenges facing sustainable development have been discussed. Key parameters of sustainable development have also been touched upon in the unit. Social audit which is one of the important concepts related to CSR have been explained in the unit briefly. Further, the relationship between ethics, sustainable development and CSR have been discussed so that students understand that CSR did not come out in isolation rather it has originated from so many other concepts.

UNIT 12 CSR REPORTING PROCESS AND AUDITING

Objectives

After studying this unit, you should be able to:

- Understand concepts of CSR reporting and sustainability reporting
- Understand importance of CSR and sustainability reporting for different stakeholders
- Enlist methods, tools and techniques of CSR and sustainability reporting
- Analyze different reporting patterns followed by leading companies in India
- Explain the CSR audit and its need
- Discuss the scope of the CSR audit covering different aspects
- Describe how to conduct CSR audit

Structure

12.1 INTRODUCTION

India has emerged as one of the leading nations to make corporate social responsibility (CSR) mandatory by amending the Companies Act in 2013 and introducing the CSR Rules from 1 April 2014. It can be seen as an explicit call to businesses to partner in solving India's complex development issues. Corporate sustainability and corporate social responsibility are the terms normally confused by the learners as synonyms. While the learners might have learnt in detail about this distinction in other blocks of the course, it is important to recall the differences when you are studying CSR Reporting. Corporate social responsibility can be seen as a small component of corporate sustainability. CSR in India addresses the issues as prescribed under the Schedule VII of the Companies Act, 2013 majorly comprising the social development and environment protection activities. Whereas corporate sustainability is an area where all business processes are aligned with sustainable or responsible way, i.e., integrating sustainability in business value chains and supply chains.

Corporate sustainability reporting is considered a function of business management, whereas, corporate social responsibility reporting in the Indian context is considered more a part of social welfare administration. Corporate social responsibility and corporate sustainability initiatives are incomplete without the reporting function. The corporate sector in India, both public and private, have been implementing CSR activities for a long time without any mandatory requirement. It was being done more as charity or philanthropy and was focused on creating basic social infrastructure like primary schools, health centres, orphanages, etc. The objective was the feel-good factor by meeting the thriving deficiency of basic social infrastructure facilities. The concept of the responsibility to stakeholder and the consideration of community as stakeholder were missing.

The national voluntary guidelines for social, economic and environmental responsibilities of business brought in the formal concept of responsibilities of business to all stakeholders which was endorsed under the Companies Act, 2013.The Act created a level playing field by mandating expenditure on CSR activities. The regulatory mechanism of social compliance is gradually becoming more comprehensive. At the same time, stakeholders are expecting greater accountability to see the impacts of these CSR activities. It is becoming important for both government and the corporate to assess whether the social investments in the CSR activities are in compliance with the provisions of the Companies Act and whether these investments are making an impact by giving the social dividend to the corporate and the nation.

12.2 CONCEPT AND RATIONALE OF CSR REPORTING

CSR Reporting as Secret for Enhancing Brand Value Leading to Positive Business Growth.

In an era of sustainability, the role of businesses in securing social, economic and environmental aspects of sustainability is seen as an important pillar. Initiatives of UN agencies, national governments and civil societies compliment this process by having sustainable development as their core agenda of existence. Businesses on the other hand have a primary motive to earn profits. Irresponsible utilization of the resources has put our planet in danger for our future generations as well as for the sustainability of the businesses. Judicial use of resources in responsible manner; recycling and reusing waste; adopting circular business models; aligning production process, supply chain and value chains of the business with sustainability standards are some of the solutions business worlds foresee against these threats.

Adopting and integrating sustainability in the business strategies and processes not only provides businesses with an opportunity for their sustenance but also satisfies the changing interest of different stakeholders in an ecosystem where the business operates. Customers are increasingly demanding that companies provide responsibly produced products and services, and investors also tend to invest in those companies which fulfill certain parameters of sustainability. Large companies have been asking their supply chain to be sustainable – all this requires adherence to systematic and universally accepted approaches in terms of frameworks, guidelines, standards and indices of CSR and sustainability.

Another motivation for businesses to adopt sustainable practices is in terms of enhancing their brand value. Producing and projecting 'responsible brands' attracts consumers, investors and stakeholders resulting into business growth and being competitive. In India alone, there are specific cases where businesses have evidence of creating positive impacts on their profits by adopting and aligning sustainability into their core business strategies. Hence, CSR and sustainability are seen as secrets for enhancing brand value that leads to positive business growth and their reporting are vital for communicating the measures taken to all the business stakeholders.

CSR Reporting as an Important Tool of CSR Communication.

Disclosure is the first important step for companies to show their commitment towards sustainability. Disclosure plays a vital role in a company's journey towards sustainability. Transparency not only helps companies tell their story, but it also drives improvements in corporate performance. It is the reason behind the popularity of CSR and Sustainability reporting. The popular statement - "You can't manage what you can't measure" is relevant in terms of business sustainability reporting. Measuring the adverse impact, a business is making on social, economic and environmental spheres through its existence and processes, and also measuring the initiatives being taken by the business in terms of protecting and taking remedial measures is of utmost importance. CSR and sustainability reporting is a way through which companies can disseminate their efforts towards sustainability and can win the trust of different segments of business stakeholders.

Rationale of CSR Reporting

Corporate social responsibility or corporate sustainability reporting is a means for corporate disclosures. Companies need to disclose to its stakeholders, the adverse impact they are making and potential risks to society, economy and environment by their operations. Besides the adverse impacts, companies also need to disclose the remedial and preventive measures being taken by them in order to address issues arising out of their operations.

These disclosures not only help companies to be competitive but also assist in:

- Attracting investments
- Value for shareholders
- Value for business stakeholders
- Attracting and retaining consumers/customers
- Positive brand enhancement
- Competitive market advantages

Activity 1

Visit the CSR department of a company and discuss with the employees their perception about the advantages of CSR reporting to the company. Write down their comments.

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12.3 PROCESS OF CSR REPORTING

Checklist before Preparing the Report

It is important to consider some aspects of a more general and fundamental nature before starting on the actual preparation of the report such as objectives, organizational embedding, resource allocation, focus, target group definition, scope, purpose and strategy for involvement of stakeholders and method definition. Management plays a special role in this part of the process in terms of laying down the general strategies and framework.

(i) Objective of the Report

If the report is being prepared as prescribed by the law of the land, the reporting requirements are obvious as per the provisions of the relevant law. For example, a CSR report may be prepared by a company in compliance with the provisions of the Companies Act, 2013. Alternatively, BSE listed 500 companies may require reporting as per the business responsibility reporting (BRR) format prescribed in the National Guidelines on Social, Economic and Environmental Responsibilities of Business, 2011. On the other hand, reports may be prepared by the companies based on relevant CSR/sustainability standards which may be mandatory or voluntary in nature. Keeping the objective clear as per reporting requirements makes it feasible to prepare reports more adequately.

(ii) Resources and Organizational Embedding

Allocating sufficient resources to the task of reporting is a key element in fulfilling the objective. The corporate social responsibility themes may vary from one business to the next, but it will generally be an extremely good idea to appoint one person or a small inter-disciplinary group whose members come from different units in the business to be responsible for the preparation of the report.

(iii) Identifying Target Groups

As the report on corporate social responsibility is basically just one of the several ways in which a business communicates with its stakeholders, the success of the report will very much depend on whether it communicates the information requested by the stakeholders. In other words, it would be a good idea if the work on the report includes certain identification of and dialogue with the stakeholders to disclose their expectations for the business in the area. This can be a comprehensive process – especially for businesses embarking on their first report. So, it may be a good idea to start by identifying the most significant stakeholders and target the report at them. As the business accumulates experience, the report can be extended to include a broader target group and thus also more areas.

(iv) Method Definition

We need to determine how we want to go about the work on the report. Numerous standards, guidelines, frameworks and initiatives exist that can be used for reporting on corporate social responsibility / sustainability so there may not be a need to invent your own methods and tools. Some of the commonly used standards/ frameworks are UN Global Compact, G3 Guidelines from the Global Reporting Initiative (GRI), AA1000's guidelines on involving stakeholders, and ISO 26000 – Guidance on Social Responsibility, among others.

Using the above steps may be helpful in ensuring the quality of the report and pave the way for comparison with other businesses operating in the same or other industries.

12.4 DIFFERENT REPORTING TOOLS AND TECHNIQUES

In this section we will talk about various reporting tools and techniques.

1. Frameworks of Reporting

Frameworks of corporate sustainability reporting are important tools helping organizations to develop their sustainability reports. Some of the important frameworks are - global reporting initiative (GRI); SIGMA project; DPSIR framework; the global carbon disclosure project (CDP); world business council for sustainable development (WBCSD); greenhouse gas protocol (GHG Protocol); broad principle-based frameworks – and SEBI framework among many others.

2. Standards of Reporting

Sustainability standards play a vital role in facilitating the processes of disclosure and as a guide to adopting universally accepted policies and practices in the business sphere ensuring sustainability. Various sustainability standards have been developed by different set of organizations including intergovernmental bodies, standard organizations, consulting firms, etc., as per sector specific requirements. There are several sector specific sustainability standards for business sectors such as textile and apparel, automobile, agro-business, electronics, etc. Some of the common sustainability standards are AA1000; SA8000; ISO 14001; ISO 9001; AS/NZS 4801; EMAS; OHSAS 18001, the New York Exchange and Deloitte, and ISO 26000 among many others. Sustainability standards may also be categorized according to their nature in terms of voluntary sustainability standards (VSS) and private sustainability standards (PSS).

3. Ratings and Indices of Corporate Sustainability Reporting

There are several ratings and indices developed by various organizations. Some of these are KLD; EIRIS; SAM; Asian Sustainability Rating (ASR); Dow Jones Sustainability Index (DJSI); MSCI ESG indices; FTSE4Good index; Bloomberg ESG disclosure scores; Trucost, Boston Consultancy Group's.

12.5 CSR REPORTING PRACTICED BY LEADING COMPANIES

In India, as it is mandatory to report CSR initiatives according to the Companies Act, 2013 most of the companies follow and report their initiatives based on the following parameters.

1. Reflections on CSR Policy

The Act mandates companies to formulate CSR policy. The policy needs to list projects/programmes it is planning to implement, execution mechanisms, monitoring and evaluation framework and others. The policy should be made available on the company's website.

2. Reflections on CSR Committee

The Act mandates that eligible companies must formulate a corporate social responsibility (CSR) committee. The CSR committee needs to formulate and recommend the CSR policy to the board, list out and recommend CSR activities and their expenditure and periodically monitor the CSR policy.

3. Disclosure on CSR in Director's Report

As per the Act, eligible companies must disclose CSR related details in their director's reports such as the composition of the CSR committee, details about the policy developed and implemented by the company on CSR initiatives taken during the year as annual report on CSR containing particulars as specified by the Act.

Most of the companies disclose their CSR initiatives in a qualitative way than in a quantitative way. As a broader and global practice, CSR disclosures have been categorized into five areas, namely:

1. Environment
2. Labour practices and decent work
3. Society
4. Human Rights
5. Product Responsibility

Most of the companies globally, base their report on these five parameters of sustainability using different tools and techniques by adopting different standards/ frameworks/guidelines. For example, Philips is using the integrated reporting format, JK Group is using ISO 26000, and Mahindra Group is using GRI, and so on.

12.6 CSR REPORTING UNDER THE COMPANIES ACT, 2013

2015 was the first year of mandatory CSR reporting. At this juncture, many corporates invested in systems and processes for effective reporting. Several CSR projects were being conceptualized and designed at this stage. After amendments in the Companies Act in 2013, it is now mandatory to report CSR as per prescribed format.

Companies (Corporate Social Responsibility) Rules, 2014, amended in January 2022, emphasizes the reporting format for the corporations as follows.

Format for the annual report on CSR activities to be included in the Board's report

1. A brief outline of the company's CSR policy, including overview of projects or programmes proposed to be undertaken and a reference to the web-link to the CSR policy and projects or programmes.
2. The Composition of the CSR Committee.
3. Average net profit of the company for last three financial years.
4. Prescribed CSR Expenditure (two per cent of the amount, as in item 3 above)
5. Details of CSR spent during the financial year:
   (a) Total amount to be spent for the financial year
   (b) Amount unspent, if any
   (c) Manner in which the amount spent during the financial year is detailed below.

1	2	3	4	5	6	7	8
Sr No	**CSR Project or activity identified**	**Sector in which the Project is covered**	**Projects or programs (1) Local area or other (2) Specify the State and district where projects or programs was undertaken**	**Amount outlay (budget) project or programs wise**	**Amount spent on the projects or programs Sub -heads: (1) Direct expenditure on projects or programs. (2) Overheads**	**Cumulative expenditure up to the reporting period**	**Amount spent: Direct or through implementing agency**
1							
2							
3							
4							
5							
	Total						

**Give details of implementing agency*

6. In case the company has failed to spend the two per cent of the average net profit of the last three financial years or any part thereof, the company shall provide the reasons for not spending the amount in its Board report.

7. A responsibility statement of the CSR Committee that the implementation and monitoring of CSR Policy, is in compliance with CSR objectives and Policy of the company.

Other important considerations under the Act while reporting

- The Board's report under subsection (3) of section 134 shall disclose the composition of the Corporate Social Responsibility Committee.

- Section 135 (5) of the Companies Act, 2013, requires that the Board of every eligible company, "*shall ensure that the company spends, in every financial year, at least two percent of the average net profits of the company made during the three immediately preceding financial years, in pursuance of its Corporate Social Responsibility Policy*". A provision to this Section states that "*if the company fails to spend such amount, the Board shall, in its report specify the reasons for not spending the amount*".

- Further, Rule 8(1) of the Companies (Corporate Social Responsibility Policy) Rules, 2014, prescribes that the Board's Report of a company covered under these Rules shall include an annual report on CSR, containing specified particulars.

- In case of a foreign company, the balance sheet filed under sub-clause (b) of sub-section (1) of section 381 shall contain an Annexure regarding report on CSR.

- The above provisions of the rules clearly lay down the details relating to the CSR activities, including details of any unspent balance, are to be disclosed only in the Board's Report in accordance with the Rules made thereunder. Since the incomes/expenses relating to CSR activities are considered as non-cost items, any unspent amount need not be reflected in the cost statements.

Activity 2

How is CSR reporting an important tool for CSR communication?

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12.7 BUSINESS RESPONSIBILITY REPORTING (BRR)

Suggested framework according to the national voluntary guidelines on social, environmental and economic responsibilities of the business, 2011

The report is divided into three parts given as follows.

Part A:

Part A of the report includes basic information and data about the operations of the business entity so that the reading of the report becomes more contextual and comparable with other similarly placed businesses. It may be written in a free format incorporating at least the following points.

- Basic details of the business – Name; nature of ownership; details of the people in top management; location of its operations - national and international; products and services offered; markets served;
- Economic and financial data: sales; net profit; tax paid; total assets; market capitalization (for listed companies); number of employees;
- Management's commitment statement to the ESG guidelines
- Priorities in terms of principle and core elements
- Reporting period/cycle
- Whether the report is based on this framework or any other framework
- Any significant risk that the business would like its stakeholders to know
- Any goals and targets that were set by the top management for improving their performance during the reporting period.

Part – B:

Part-B of the report incorporates the basic parameters on which the business may report their performance. Efforts have been made to keep the reporting simple keeping in view the fact that this framework is equally applicable to the small businesses as well. The report may be prepared in a free format with the basic performance indicators being included in the same. In case the business entity has chosen not to adopt or report on any of the principles, the same may be stated along with, if possible, the reasons for not doing so. The information according to nine principles are accorded as under:

Principle 1: Ethics, Transparency and Accountability

- Governance structure of the business, including committees under the Board responsible for organizational oversight. In case no committee is constituted, then the details of the individual responsible for the oversight
- Mandate and composition (including number of independent members and/ or non-executive members) of such committee with the number of oversight review meetings held
- State whether the person/committee head responsible for oversight review is independent from the executive authority or not. If yes, how?
- Mechanisms for shareholders and employees to provide recommendations or direction to the Board/ Chief Executive
- Processes in place for the Board/ Chief Executive to ensure conflicts of interest are avoided

- Internally developed statement on Ethics, Codes of Conduct and details of the process followed to ensure that the same are followed
- Frequency with which the Board/ Chief Executive assess BR performance.

Principle 2: Products Life Cycle Sustainability

- Statement on the use of recyclable raw materials used
- Statement on use of energy efficient technologies, designs and manufacturing/ service-delivery processes
- Statement on copyrights issues in case of the products that involve use of traditional knowledge and geographical indicators
- Statement on use of sustainable practices used in the value chain.

Principle 3: Employees' wellbeing

- Total number of employees with percentage of employees that are engaged through contractors
- Statement on nondiscriminatory employment policy of the business entity
- Percentage of employees who are women
- Number of persons with disabilities hired
- Amount of the least monthly wage paid to any skilled and unskilled employee
- Number of training and skill up-gradation programmes organized during the reporting period for skilled and unskilled employees
- Number of incidents of delay in payment of wages during the reporting period
- Number of grievances submitted by the employees.

Principle 4: Stakeholder Engagement

- Statement on the process of identification of stakeholders and engaging with them
- Statement on significant issues on which formal dialogue has been undertaken with any of the stakeholder groups

Principle 5: Human Rights

- Statement on the policy of the business entity on observance of human rights in their operation
- Statement on complaints of human rights violations filed during the reporting period

Principle 6: Environment

- Percentage of materials used that are recycled input materials
- Total energy consumed by the business entity for its operations

- Statement on use of energy saving processes and the total energy saved due to use of such processes
- Use of renewable energy as percentage of total energy consumption
- Total water consumed and the percentage of water that is recycled and reused
- Statement on quantum of emissions of greenhouse gases and efforts made to reduce the same
- Statement on discharge of water and effluents indicating the treatment done before discharge and the destination of disposal
- Details of efforts made for reconstruction of biodiversity.

Principle 7: Policy Advocacy

- Statement on significant policy advocacy efforts undertaken with details of the platforms used.

Principle 8: Inclusive Growth

- Details of community investment and development work undertaken indicating the financial resources deployed and the impact of this work with a longer-term perspective
- Details of innovative practices, products and services that particularly enhance access and allocation of resources to the poor and the marginalized groups of the society.

Principle 9: Customer Value

- Statement on whether the labelling of their products has adequate information regarding product related customer health and safety, method of use and disposal, product and process standards observed
- Details of the customer complaints on safety, labelling and safe disposal of the products received during the reporting period.

Part C:

Part C of the report incorporates two important aspects on the business responsibility reporting:

Part C-1 is a disclosure by the business entity on any negative consequences of its operations on the social, environmental and economic fronts. The objective is to encourage the business to report on this aspect in a transparent manner so that it can channelize its efforts to mitigate the same.

Part C-2 is aimed at encouraging the business to continuously improve its performance in the area of BR:

- Brief report on any material/significant negative consequences of the operations of the business entity
- Brief on goals and targets in the area of social, environmental and economic responsibilities that the business entity has set for itself for the next Reporting period.

12.8 INTEGRATING SDGS INTO CORPORATE REPORTING

Indian businesses have been voluntarily committed towards philanthropy since ages but after 2013, since CSR provisions included in the Companies Act, CSR practices are evolving in a specialized professional manner. Now the corporates need and are also looking for more impactful, long lasting and innovative activities touching more lives through their CSR interventions. This can be possible only when their CSR activities, though catering to a certain geography or community, align with much wider objectives and goals for the wellbeing of the nation and the world.

Having sustainable business practices besides CSR activities and linking to the Sustainable Development Goals (SDGs) and Nationally Determined Contributors (NDCs) is the need of the hour for businesses to reap the benefits of such initiatives. “Better Business, Better World”, a report by the Business and Sustainable Development Commission reveals that sustainable business models could offer a compelling growth strategy, opening up an economic prize of at least US$1 trillion by 2030 for the Indian private sector and over 73 million new jobs could be created in India by 2030.

Companies need to broaden the horizon of their CSR policies and activities to align with global or national priorities and goals. Aligning CSR activities with global sustainability goals encapsulated within the 17 UN SDGs and the Paris Accord driven NDCs provide, businesses the opportunity to achieve these social and business objectives. A few of the benefits are as below:

- Aligning CSR activities with SDGs and NDCs establish direct contributions to national and global targets of social, environmental and economic development/growth. A good economy or socially developed communities expand the market and people’s purchasing power increases, which ensure further growth of markets.
- The measurable contribution with larger goals can enhance corporate reputation, which can add great value to help establish a responsible brand. The socially conscious millennial consumer is vying for responsible brands and do not hesitate to spend extra bucks to buy the product with such a reputation.
- Sustainable business practices and ethical business are increasingly becoming mandatory requirements to enter and grow in the mature markets globally. Adopting sustainability practices aligned with CSR initiatives can help grow business globally.

One large corporate in India has measured the impact on their sales in the region where CSR initiatives were made by rescaling their CSR initiatives, and linking to SDGs. The sales increased by threefold through the redesigning of CSR strategy. How responsible business practices can turn in to fulfilling these objectives by contributing and connecting to SDGs and NDCs is a moot question. SDGs and NDCs explicitly call for business to apply their creativity and innovation to help solve the country specific development, environmental and economic challenges.

SDGs, NDCs and the areas of intervention mentioned in the Schedule VII of the Companies Act, 2013 were framed almost at the same time. There are interlinks in all the three fields – CSR, SDGs and NDCs. However, 17 SDGs and NDCs not only address measurable changes in the wellbeing of people, economic development of nations, and better environment for the planet, but also deliberate upon how these changes will be achieved by defining 169 targets and further indicators of SDGs to measure the same. The horizon of SDGs is broader under the same categories mentioned under the Schedule VII of the Act. Hence, connecting to SDGs broaden the impact to many aspects of an individual's life and society within almost similar budgets. Though there are various codes, guidelines, standards and regulations for undertaking CSR in India, but corporates in India seem in state of dilemma on which of these available sources to use in their CSR policy, strategy and execution. Various standards and organizations such as ISO 26000, UN Global Compact, Global Reporting Initiative, KMPG, and Centre for Responsible Business etc. have come-up with strategies to align CSR with Sustainable Development Goals.

Centre for Responsible Business in India has conceptualized and developing a toolkit for this purpose which not only addresses the key components of relevant sources such as ISO 26000, GRI, UNGC, ILO conventions, IFC and World Bank Frameworks, OECD Guidelines, UNGPs, SA 8000, ISO 37001, ISO 14000 series, and Equator Principles. It broadly targeted towards achieving SDGs and broadening the horizon of the CSR towards more impact and returns on one hand and building/managing corporate brands and stakeholders satisfaction on the other hand. The proposed toolkit is a standard document to be used by the corporates in India which will help them fulfilling their different needs in the CSR domain. The CSR-SDGs-NDCs Linkage Toolkit is being developed in association with Aston Business School (ABS) and Aston India Centre for Applied Research (AICAR), Aston University, UK. Different consultations with key stakeholders have been organized to develop a final draft of the toolkit. The toolkit broadly includes government initiatives, policies, schemes, budget, and baseline on the targets mentioned under different SDGs and how corporate can contribute achieving and complementing those targets.

This toolkit is an important milestone to report CSR initiatives measured in terms of attaining SDGs and NDCs and business contribution in it which will not only give businesses a competitive advantage but also reflect their concern towards cooperating and complimenting with governments and other stakeholders in attaining globally recognized sustainable development goals in local communities.

Activity 3

Write down any 5 CSR activities that companies undertake which could be related to SDGs.

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12.9 NEED AND SCOPE OF CSR AUDIT

Need of CSR Audit

An audit is an important Management Information System (MIS) tool upon which many management decisions are dependent. The purpose of any audit is to acquire information and provide additional discipline on the internal processes to validate proper functioning of the specific system. Benefits of such an exercise in reducing the waste and cost and improving the efficiency and efficacy in the system are evident.

A CSR audit is a management tool comprising a systematic, documented, periodic, and objective evaluation of how well CSR organization, process and management are performing with the aim of creating social value to stakeholders. It is an independent evaluation of:

i) Compliance to policy and principles,

ii) Compliance to systems, procedures, and practices,

iii) Performance of elements relating to CSR,

iv) Compliance to regulatory requirements, and

v) Reliability of data management, records, and disclosure.

The advantages of such an exercise are not only assuring conformance/compliance with statutory requirements but also reducing social risk and liability; and increasing efficiency and efficacy of CSR projects. A good system of audit is the backbone of every successful programme. The process of audit gives a better understanding of the monitoring practices, availability of records, and input for evaluation of programmes.

Scope of CSR Audit

The output is the quantitative impact of the CSR activities carried out by the organization. The audit will include assessment of the physical changes that have taken place during an identified span of time because of the activities undertaken. This impact would vary depending upon the efficiency of the community development activities carried out, the number of intended beneficiaries identified, and the social/ physical infrastructure provided to the community.

I. Audit for financial resources and utilization

This covers the primary aspects of the project management that is, if the CSR project was delivered within time, within estimated cost and with required quality. This is generally covered under the financial audit of the corporate.

II. Audit for compliance to the Companies Act and the CSR policy & business process of the company

This will ensure that the system and process both under the Companies Act and under the corporate plan, strategies and policies are complied with. It will also enable the company to examine and ensure that the CSR is fully integrated into business processes, business plans and business risk register.

(i) Compliance with the Companies Act

This covers the audit of compliance to processes identified in the section 135 of the Companies Act. This may include how the CSR projects are identified, CSR goals established, and CSR projects formulated. It also covers auditing the identification of CSR projects vis-a-vis the activities identified under Schedule VII of the Companies Act and the clarifications given by Ministry of Corporate Affairs from time to time.

(ii) Effectiveness of CSR policy

This covers the audit of the effectiveness of the CSR policy, whether it has given the desired results and what changes have been made or should be made to deliver the stated aims and objectives of the policy.

(iii) Identification and formulation of CSR projects

The audit will cover the identification and the formulation of the CSR projects including defining the output and outcome that it intends to achieve. The audit will cover whether adequate resources were deployed to achieve the objective.

The audit will also cover whether the need assessment survey was aligned with the national goals and the sustainable development goals as per the national plan of the government.

(iv) Institutional setup

The audit will cover the assessment of the deployment of suitable human resources and their efficient utilization by the implementing agency whether in-house or through an NGO or any other lawful agency. The human resource audit would identify the suitability of the staff deployed and their training needs. The audit would provide data to the management on efficient use of the resources per unit of production thereby reducing resource consumption and minimizing the waste. The audit will cover the training requirement and management of the CSR staff and the NGO deployed for planning and implementation of the CSR activities.

(v) Data management

The audit will cover the adequacy of the data management system and the communication system with the stakeholders and the beneficiaries.

(vi) Stakeholder engagement

The CSR projects are the only activity which a company does not plan for its own benefit but for the benefit of communities which are its stakeholders. Hence, the stakeholder engagement becomes the most important aspect of planning, implementing, and reporting. Without appropriate engagement, the objective of implementing the CSR projects gets distorted and perceived to benefit the company rather than the stakeholders.

Activity 4

Visit the CSR department of a company in your vicinity. Ask the CSR employees, about their felt needs of training. Ask them about the types of training that has been provided to them. Write down their responses.

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III. Audit of outcome as per the project report

Social impact evaluation basically means the evaluation of qualitative impact of the community development programmes carried out by the organization for the community. The evaluation includes assessment of the awareness and perception of the people for whom the activities were aimed. The assessment could be on the economic aspect or the socio-cultural aspect or on both the aspects. This impact would vary depending upon the effectiveness of the community development (CD) activities carried out.

Social impact evaluation would help to determine the extent to which the community people have got benefited from the CSR-CD activities implemented for them and whether CSR-CD activities have been able to bring desired changes in the educational/ health/ economic status of the communities.

The audit will include assessment of the outcomes such as:

i) The short term and long term social/cultural/economic impacts of the CSR-CD activities on the community.

ii) The effectiveness of the existing programmes/activities with respect to the needs of the community.

iii) The contribution of CSR-CD activities in raising the living standard of the people.

It would help analyze the objectives and results of the programmes executed there by making sure that the current programmes conform to the needs of the communities.

12.10 AUDIT PROCEDURE

A systematic and well executed process of audit should clearly indicate the following:

i) Accountability as to how the funds have been used.

ii) It fixes accountability for tasks.

iii) Feedback in terms of targets achieved.

iv) Targets that have not been met.

v) Whether resources have been fully utilized or not.

vi) Clearly defined indicators that serve as concrete evidence for all future interventions.

vii) The shortcomings in the process.

viii) Changes to be made in the format, the process, the strategies, etc.

ix) Serves as a guide for development of future policies/interventions.

The audit should be carried out at regular intervals. The internal audit should be more frequent supplemented by random audit through external agencies which would help identify the efficiency and effectiveness of internal audit system and identify the training needs of audit staff.

Different types of audits should be conducted by separate/distinct groups in order to maintain absolute objectivity. The report should be based on facts supported by documentary evidence of the site management and should include action plan for corrective measures with specific responsibilities and deadlines. A specific structured questionnaire should be prepared for consistency and follow up action.

A follow up action plan should be drawn up by the site officials in consultation with the auditor for implementing the recommendations of the audit and minimize deficiencies/shortcomings in the system. The difference of opinion if any, could be sorted out through discussions with the top management.

- **Procedure for financial audit**

  This is a well-established procedure and is an integral part of the financial audit of the company. This ensures whether the financial resources are deployed as per the financial process of the company.

- **Procedure for compliance audit for the Companies Act and the CSR policy and business process of the company**

  This is based on the basic quality concept of PDCA, i.e., plan, do, check, act. This will ensure CSR projects are properly planned, implemented, monitored and reviewed and the learning is deployed back to improve the policies and processes.

  (i) Procedure for compliance audit for the Companies Act

  There are specified processes to be followed for identification, formulation, approval, reporting and closure of a project and all CSR activities are to be implemented in a project mode. The audit will cover whether the process specified in the section 135 of the Companies Act and the activities specified in schedule VII of the Companies Act are followed.

  (ii) Procedure for audit for effectiveness of CSR policy

  The CSR policy framed by the company is not a static document but is to be reviewed and revised on regular intervals. This has to be based on the evaluation of the effectiveness of the policy. The audit will include whether policy has been evaluated for assessing its effectiveness and whether the policy has been suitably reviewed and revised.

  (iii) Procedure for audit of CSR project identification and formulation

  The audit will review the project report prepared for each CSR project and activity, specifically the following:

  i. Gap analysis covered in the need assessment survey report

  ii. Long term goals and targets to be achieved based on national development goals and sustainable development goals

  iii. Goals and targets to be achieved based on the identified development indicators

  iv. Review of primary and secondary data on identified development indicators

v. Procedure for audit of institutional setup

This audit will evaluate the deployment of appropriate human resources and their effective utilization. It is the human resource that will implement the CSR project. It will include the training process of the human resources deployed for CSR activities. It will also review whether there is defined process for selecting the NGOs for implementing the CSR projects and the monitoring and review mechanism for the NGO.

(iv) Procedure for audit ofdata management

The integrity and completeness of relevant data is very important for measuring the success of a CSR project. The qualitative and quantitative data will be collected from primary as well as secondary sources based on the indicators as mentioned against each CSR project. The data may be available from structured questionnaires and records of focused group discussions. This needs verification with the secondary data compiled/ published by various government agencies.

The data on the project is to be checked with reference to the format specified in the **Companies Act.**

(v) Procedure for audit ofstakeholder engagement

The audit will cover the stakeholder engagement process to ensure that the activities are planned and implemented through a consultative process for inclusive benefits and equitable development.

- **Procedure for audit of outcomes as per project report**

The outcome audit covers the evaluation of qualitative and quantitative impact of the community development programmes carried out by the organization on the community.

The audit includes assessment of the development indicators as identified under the project report that have taken place during an identified span of time because of the activities undertaken as well as the awareness and perception of the people for whom the activities were aimed. The impact could be short term or / and long term.

The outcome audit would help to determine the extent to which the community people have got benefited from the CSR-CD activities implemented for them and whether CSR-CD activities have been able to bring desired changes in the development indicator like on educational/ health/ economic status of the communities. It would therefore propose the changes that need to be undertaken thereafter.

The broad objectives of outcome audit are:

i) To determine the impact of CSR project on development indicator identified in the project report like on education/ health/ social/ economic conditions of the people in communities.

ii) To assess the changes in the quality of life among communities through CSR project interventions.

iii) To get objective description of social impacts than what people might perceive.

iv) To identify requirement of changes in the existing policies and projects to take care of the changing needs of the people.

v) To enhance stakeholder engagement and the capacity of institutional setup.

vi) To improve the reliability of data management and reporting.

- **Formulation of audit procedure**

  The content and depth of audit procedure will vary for each company depending on whether it wants basic compliance to financial processes or comprehensive compliance to legal and corporate policies and process or advance compliance to check the impact and improve the policy and CSR projects. It will depend on the maturity, size and CSR budget of the company. There is no mandatory requirement to conduct all categories of CSR audit at present. Therefore, the company has to design the scope and process of audit on its own. The ICAI has brought out an indicative list of points to be covered in the CSR audit.

12.11 SELECTION OF AUDIT PERSONNEL

The audit should be carried out by qualified and experienced personnel who are not directly involved in the day-to-day affairs of the factory. They should however be, well versed with various processes of the CSR project/programmes, which would thereby help management to conduct unbiased evaluation and dissemination of information.

Conflict of interest in selection of audit personnel should be avoided. For the internal audit, the people or the group who are involved in the formulation and implementation of CSR projects and programmes should not be involved. Similarly, for external audit, the consultants and NGOs who are involved in the formulation and implementation of CSR projects and programmes should not be involved.

The auditors should be well versed and experienced with the following:

i. Technical sectoral knowledge about the CSR projects like in education, water management, community health, etc. including development indicators for the sector.

ii. Have knowledge about the NDGs and the SDGs.

iii. Have knowledge about the formulation, implementation, monitoring and review of projects.

12.12 SUMMARY

The CSR reports reflect any company's policy in relationship to the environment, sustainability. They also reflect the commitments accepted by the company within the concept of social responsibility. In this unit you have read about the concept and rationale of CSR reporting. CSR reporting helps in enhancing brand value leading to positive business growth. It is also an important tool of CSR communication. You have also read about the process of CSR reporting. Different reporting tools and techniques have also been briefly explained. This unit also discusses the parameters followed by most of the companies in reporting their initiatives. CSR reporting under Companies Act 2013 has also been dealt with in detail. Finally, the business responsibility reporting and integration of SDGs into corporate reporting have also been discussed.

CSR audit is a basis for developmental planning whose ultimate aim is social benefits. It could help the industry in assessing the performance of business in terms of value addition to social capital. The CSR audit will not only ensure the legal compliance and the financial prudence of CSR activities, but also improve the effectiveness of creating the social and community capital and also facilitate optimal utilization of resources invested in CSR projects. It will also enable the company to minimize and mitigate the risk related to legal compliance, social discontentment and reputation. In this unit you have read about various aspects of CSR audit. The unit deals in detail with the need and scope of CSR audit. You have also read about the audit procedure and selection of audit personnel.

12.13 KEYWORDS

CSR : Corporate Social Responsibility

VSS : Voluntary Sustainability Standards

PSS : Private Sustainability Standards

POSDCORB : Planning-Organizing-Staffing-Directing-Coordinating-Reporting-Budgeting

SDGs : Sustainable Development Goals

NDCs : Nationally Determined Contributors

CRB : Centre for Responsible Business

UK : United Kingdom

ABS : Aston Business School

AICAR : Aston India Centre for Applied Research

ILO : International Labour Organization

GRI : Global Reporting Initiative

SA : Social Accountability

IFC : International Finance Corporation

OECD : Organization for Economic Cooperation and Development

UN : United Nations

UNGC : United Nations Global Compact

Need Assessment Survey (NAS) : It is a way of asking a group or community's members what they see as the most important needs of that group or community.

Sustainable Development Goals (SDGs) : The Sustainable Development Goals (SDGs), also known as the Global Goals, were adopted by all United Nations Member States in 2015 as a universal call to action to end poverty, protect the planet and ensure that all people enjoy peace and prosperity by 2030.

Social Impact Evaluation (SIE) : Social Impact Assessment includes the processes of analyzing, monitoring and managing the intended and unintended social consequences, both positive and negative, of planned interventions (policies, programs, plans, projects) and any social change processes invoked by those interventions.

12.14 SELF-ASSESSMENT QUESTIONS

1. What are the five areas in which the CSR disclosures have been categorized as per the Companies Act 2013?
2. What is the information regarding stakeholder engagement needed in BRR?
3. Write any two benefits of integrating SDGs into corporate reporting.
4. Define CSR audit.
5. What is audited in compliance with the Companies Act?
6. Visit the CSR department of a company in your vicinity. Ask them about the categories of CSR audit done in their company. Write down their responses.
7. What is the procedure for audit of stakeholder engagement?
8. What knowledge should the auditors have?

12.15 REFERENCES/FURTHER READINGS

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UNIT 13 ROLES AND RESPONSIBILITIES OF CSR DEPARTMENT

Objectives

After reading this unit you will be able to:

- Discuss the formation and functioning of the CSR Department
- Explain the roles and responsibilities of the Board
- Discuss the tax issues in CSR
- Differentiate between internal & external CSR and Make & Buy decisions
- Discuss CSR Reporting

Structure

13.1 INTRODUCTION

In today's competitive business environment, CSR programs need to go beyond 'doing good'. The most successful CSR initiatives tell a company's story, implement customer feedback, position a company as a leader on social issues, and determine how community investment will be spent. However, to accomplish this, CSR programs first need to be strategically aligned with a company's business model. If corporate citizenship efforts do not demonstrate value to customers, employees, and shareholders, as well as the community, they're less likely to be successful and serve a long-term purpose.

Companies to which Section 135 of the Company's Act, 2013 is applicable, are required to constitute a CSR Committee in order to undertake and monitor CSR activities. In this unit you will learn about the functioning of the CSR Department and the roles and responsibilities of different functionaries therein.

13.2 FORMATION OF CSR DEPARTMENT AND CSR COMMITTEE

Section 135 of the Companies Act, 2013 requires that "Every company having net worth of rupees five hundred crore or more, or turnover of rupees one thousand crore or more or a net profit of rupees five crore or more during the immediately preceding financial year shall constitute a Corporate Social Responsibility Committee of the Board consisting of three or more directors, out of which at least one director shall be an independent director." (Companies Act, 2013). In the case of a listed company the CSR committee of the board should consist of a minimum of three or more directors out of which at least one director must be an independent director, while in the case of an unlisted company it is not compulsory to have an independent director. Here, a listed company is one which has offered its share for trading in stock exchange whereas an unlisted company is one that has not offered its share for trading in a stock exchange. Who can be the independent directors is defined under Section 149 (6) of the Companies Act. The independent director is a non-executive director with requisite qualification and experience, and does not have pecuniary relationship with the company, etc. In the case of a foreign company, the committee shall comprise of at least two persons of which one person shall be a person resident in India authorized to accept on behalf of the foreign company – the services of notices and other documents. Also, the other person shall be nominated by the foreign company.It also requires that the board's report should disclose the composition of CSR Committee.

The CSR Committee is responsible for the following:

- Formulating and recommending to the board, a corporate social responsibility policy which shall indicate the projects/activities to be undertaken by the Company in areas or subject, as specified in Schedule VII.
- Recommending the amount of expenditure to be incurred on CSR projects/ activities undertaken.
- Instituting a transparent monitoring mechanism for implementation of CSR projects/activities undertaken by the company.
- Reviewing performance of the Company in the areas of CSR.
- Submitting an annual report of CSR projects/activities to the board.
- Monitoring CSR Policy from time to time.

13.3 ROLES AND RESPONSIBILITIES OF THE BOARD

Section 2 (10) of the Companies Act, 2013 defines the Board of Directors or Board as the collective body of the directors of the company. It oversees how the management serves and protects the long-term interests of all the stakeholders of the Company.

The Board of Directors of every company on which CSR is applicable shall:

- Disclose the composition of the CSR Committee in Board Report.
- After taking into account the recommendations made by the CSR Committee, approve the CSR Policy for the company and disclose contents of such Policy in its report and also place it on the company's website, if any, in such manner as may be prescribed.

- Ensure that the activities as are included in the CSR Policy of the company are undertaken by the company.

- Ensure that the activities included by a company in its CSR Policy fall within the purview of the activities included in Schedule VII. These activities are specified in Schedule VII as the activities which may be included by companies in their Corporate Social Responsibility Policies. These activities are related to:

  (i) eradicating extreme hunger and poverty

  (ii) promotion of education

  (iii) promoting gender equality and empowering women

  (iv) ensuring environmental sustainability

  (v) protection of national heritage, art and culture

  (vi) measures for the benefit of armed forces veterans, war widows and their dependents

  (vii) training to promote rural sports, nationally recognized sports, Paralympic sports and Olympic sports

  (viii) social business projects such as contribution to Prime Minister's National Relief Fund or any other fund set up by the Central or the State Government for socio-economic development and relief and funds for the welfare of the Scheduled Castes, the Scheduled Tribes, other backward classes, minorities and women and such other matters as may be prescribed.

  (ix) Contribution to incubators funded by Central Government or State Government or any agency

  (x) Contributions to public funded Universities and other eminent institutions mentioned in the schedule.

  (xi) Rural development projects.

  (xii) Slum area development.

  In Schedule VII, after item (xii) and the entries relating thereto the Central Government made the following amendment (addition) on 30th May, 2020 namely:

  (xiii) disaster management, including relief, rehabilitation and reconstruction activities.

Activity 1

Visit a CSR Department of any company near your residence and find the various CSR programmes being implemented by them. Which programmes correspond to items in Schedule VII.

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Responsibilities of the Board

The board strives to build sustainable value for shareholders whilst protecting the assets and reputation of the company. Its functions include:

- approving CSR strategies, budgets, plans and corporate policies
- assessing performance against business plans to monitor both the performance of management as well as the continuing suitability of business strategies
- ensuring that the Company operates an appropriate corporate governance structure, in particular ensuring that CSR acts legally and responsibly on all matters and that the highest ethical standards are maintained.

Some examples of companies and their efforts for CSR are as follows:

1. TATA GROUP

   The Tata Group conglomerate in India carries out different CSR projects, a large portion of which are network improvement and poverty alleviation programs. Through self-help gatherings, it is engaged in women's empowerment activities, income generation, country network development, and other social welfare programs. In the field of education, the Tata Group provides scholarships and endowments for numerous establishments.

   The gathering likewise engages in healthcare projects, for example, assistance of youngster education, vaccination and creation of awareness of AIDS. Other areas include economic empowerment through agriculture programs, environment protection, giving game scholarships, and infrastructure development, for example, healing centers, research centers, educational establishments, sports academy, and social centers.

2. ULTRATECH CEMENT

   Ultratech Cement, India's biggest cement organization is involved in social work across over 407 villages in the nation planning to create supportability and self-reliance. Its CSR activities center around healthcare and family welfare programs, education, infrastructure, environment, social welfare, and sustainable livelihood. The organization has organized medical camps, vaccination programmes, school enrollment, ranch drives, water conservation programs, and natural cultivating programmes.

3. MAHINDRA & MAHINDRA

   Indian automobile manufacturer Mahindra and Mahindra (M&M) established the K. C. Mahindra Education Trust in 1954, followed by Mahindra Foundation in 1969 with the purpose of advancing education. The organization essentially focuses on education projects to help economically and socially disadvantaged communities. CSR programmes invest in scholarships and awards, livelihood preparing, healthcare for remote areas, water conservation, and disaster relief programmes. M&M runs projects, for example, "Nanhi Kali" concentrating on young female education, Mahindra Pride Schools for modern preparing, and Lifeline Express for healthcare services in remote areas.

4. ITC GROUP

ITC Group, a conglomerate with business interests crosswise over hotels, FMCG, agriculture, IT, and bundling sectors has been concentrating on creating sustainable livelihood and environment protection programmes. The organization has been able to generate sustainable livelihood opportunities for six million people through its CSR activities. Their e-Choupal programme, which plans to connect country farmers through the internet for getting agriculture items, covers 40,000 villages and over four million farmers. Its social and ranch forestry programme helps farmers in converting wasteland to pulpwood estates. Social empowerment programmes through smaller scale enterprises or credits have created sustainable livelihoods for over 40,000 rural women.

5. PROCTER AND GAMBLE INDIA LIMITED

P&G (Procter and Gamble) had initiated a social development and education program in India called "Shiksha" which aimed at advancing the education among children in rural areas at affordable expenses. P&G started contributing a fixed sum from the sale of its items to the children education finance for country areas. Till date, it has spent more than Rs. 24 Crores on Shiksha programme and the sum is increasing every year to benefit the poor children and promote school education among them.

6. DABUR INDIA

While seeking after their business strategy of presenting items that give our consumers health and wellness, Dabur operates in a manner that continues to generate an attractive return for shareholders, and also minimizes their effect on the environment.

The four center areas of Dabur India towards CSR are as per the following:

A- Eradicating hunger, poverty and malnutrition: Arrangement of nourishment, sustenance supplement, clothes etc. for poor people, children and other deprived sections of the society. Arrangement of shelter for homeless, and advancing sanitation, making available safe drinking water.

B- Promoting Health care including Preventive Health care through awareness programmes, health check-ups, arrangement of medicine and treatment facilities, giving pre-natal & post-natal healthcare facilities, prevention of female foeticide through awareness creation, program for preventing diseases and building insusceptibility.

C- Ensuring environmental sustainability and ecological balance through: Estate drives in schools, villages, their assembling units and offices/business premises and other areas in general, reviving endangered plants, advancing agro-forestry, Protection of verdure and fauna, Adoption of wastelands to cultivate plants; Promoting biodiversity etc.

D- Employment and livelihood enhancing vocational skills and projects counting beautician, mehndi application, bee keeping, nourishment processing and preservation, vermi-treating the soil and other Life Skill Training and livelihood enhancement projects.

7. HINDUSTAN UNILEVER LIMITED (HUL)

   HUL is constantly working on the improvement of society in India through its CSR activities. HUL has framed various policy measures to achieve its sustainability goals as a part of CSR.

   HUL's Environment policy includes:

   - Ensuring safety of its items and operations for the environment by utilizing norms of environmental safety, which are scientifically sustainable and generally acceptable.
   - Develop, introduce and keep up environmental management systems over the organization to meet the organization principles and also statutory requirements for environment.
   - Verify compliance with these principles through regular reviewing.
   - Assess environmental effect of every one of its activities and set consistent improvement objectives and targets and review these periodically to ensure that these are being met at the individual unit and corporate level.
   - Reduce waste, conserve energy and explore opportunities for reuse and recycle.

Activity 2

Write any three functions of the board.

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13.4 TAX ISSUES IN CSR

The Income Tax Act, 1961 (IT Act) allows various business expenses to be claimed as deductions while computing taxable income under the heading, 'profit and gains of business or profession'. Section 37 of the IT Act is a residuary provision on deductions. It permits any business expenditure to be availed as deduction, provided the expense:

(a) cannot be claimed as deduction under Sections 30 to 36,

(b) is of revenue nature, and

(c) has been expended wholly and exclusively for the purposes of business or profession, i.e., is not of personal nature.

The last point requires that the expenditure can be justified on the ground of commercial expediency. This implies that it need not have any direct and immediate relation with business operations; instead, it is sufficient if the expenditure indirectly ensures the smooth conduct of business operations. Further, the term commercial expediency does not necessitate that the expenditure be incurred to earn profits so long as the expenditure has relation with business operations.

If the abovementioned three pre-conditions are satisfied, expenditure can be claimed as deduction under Section 37 even when it has been incurred voluntarily by a business instead of being required to be incurred under some statute or contract. Such expenditure can be claimed as deduction even when benefits arising positively affect not only the concerned business but also the general members of community. This is why in various cases social expenditure incurred by businesses, for instance for installing traffic light in a public lane, has been categorized as the expenditure incurred 'wholly and exclusively' for the purposes of business and has been allowed as a deduction under Section 37.

Section 135 of the Companies Act, 2013 requires a company having net worth, turnover or net profits above a certain threshold over a certain period of time to constitute a corporate social responsibility (CSR) committee. The CSR committee has the mandate to draft the company's CSR policy whereby at least 2% of the company's average net profits are expended on any activity specified under Schedule VII of the Companies Act.

Since, prior to the enactment of Section 135, certain kinds of CSR expenditure were permitted to be claimed as deduction under Section 37, ambiguity arose whether all the CSR expenses incurred under Section 135 could also be claimed as deductions under Section 37 once they meet all the above-mentioned three pre-conditions. Foreseeing the prospective loss in its revenues if Section 135 expenditure is claimed as deduction under Section 37, the Government added Explanation II to Section 37 through its Finance Act, 2014 which became effective from April, 2015. Under the Explanation, an expenditure incurred by an assessee's business on CSR activities in accordance with Section 135 cannot be claimed as deduction under Section 37 because such expenditure is not deemed to be an expenditure incurred by the assessee for the purposes of the business or profession. Interestingly, it has been claimed that the Explanation is merely clarificatory in its nature.

The memorandum to the explanation states that it is merely clarificatory because CSR expenditure incurred under Section 135 is an application of and not charge against profits. This argument arises due to the existence of provisions such as Rule 4(1) under the Companies (Corporate Social Responsibility) Rules, 2014 ("CSR Rules"). Rule 4(1) clarifies that for the purposes of Section 135, CSR expenditure shall not include an expenditure incurred on activities undertaken in the normal course of company's business. Further, as stated earlier, an item of expenditure which is not incurred for the purpose of business operations and thereby cannot be justified on the grounds of 'commercial expediency' cannot be considered as a charge on profits and cannot thereby be allowed as deduction under Section 37 of the IT Act. Therefore, on a conjoint reading of Section 37 and Rule 4(1) of the CSR Rules, it has been reasoned that Explanation II is only clarificatory in its nature. This is because expenditure which is not hit by Rule 4(1) will be a CSR expenditure and it could anyway not have been claimed as deduction under Section 37 as it would not have been an expenditure on account of commercial expediency.

However, there is much disagreement on this point. This is because, according to logic and under law, a business activity can fall within company's objects clause of its Memorandum of Association ("MoA"), yet it can be outside its 'normal' course of business in the sense the term as has been used under Rule 4(1) of the CSR Rules, 2014. This is because objects clause is given very wide interpretation under company law jurisprudence. Any activity, including charitable activity, may fall within company's objects provided it somehow contributes to the company's main business. Nevertheless, such activity may still be outside the preview of the 'normal' or routine course of company's business. This is because a transaction falls under the 'normal' course of business only if it pertains to the usual operations of the business and is carried out as a matter of ordinary business custom or practice.

For example, expenditure incurred by a company towards renovation of primary schools in its neighborhood to muster the support of the local community there can qualify as an expense on that activity of the company which falls within its object clause. This is because such an activity ultimately helps the company in fulfilling the main objects stated in its MoA. Therefore, such type of expenditure can be justified on the ground of commercial expediency according to Section 37 and can be claimed as deduction. On the other hand, this expenditure on renovation of a school may not still be expenditure incurred in the business's 'normal' course of operations according to Rule 4(1) and is thereby not disqualified from being CSR expenditure in terms of Section 135. Therefore, it would be an incorrect proposition that due to Rule 4(1), as a matter of universality, the CSR expenditure incurred in terms of Section 135 would always be expenditure that cannot be justified on the ground of commercial expediency under Section 37.

Therefore, for such instances of CSR expenses which are not hit by Rule 4(1) and could otherwise have been claimed as deduction under Section 37 because they could be justified on the ground of commercial expediency, Explanation II is not merely clarificatory in nature. Hence, an outright exclusion of all kind of CSR expenditure incurred under Section 135 from the ambit of Section 37 deductions involves the creation of a completely new exception in itself.

This clash between CSR and the deduction under Section 37 of the IT Act has led to a lot of confusions and different interpretation of law. The normal rule is that if any expenditure on public welfare is connected or related with the carrying on of business, it is eligible for deduction under the said Section. But in certain cases, those activities which are done as a part of social initiative were also allowed. So, the burden of proof for proving that expenditure comes under the purview of Section 37 of the IT Act lies with the assessee.

Apart from the Section 37 of the IT act, deductions for CSR expenditure can also be claimed under Sections 30 to 36 and 80G of the IT Act. This paves way for differential tax treatments for different activities permissible as CSR and if the companies involve in CSR on their own,it is not entitled to any deductions. Only if it acts through an intermediate, it is allowed for deduction. For example, CSR expenditure through Section 80G (NGO), it will get 50% tax benefit, expenditure through institutions registered under Sections 35CCA (Rural Development), 35CCB (Conserving Natural Resources) of the IT Act or through Prime Minister's relief fund (National and drought) will get 100% tax benefit and if it is through Section 35, it may get 125% to 175% of tax benefit.

So, the main issue here is that, those companies which are motivated towards CSR by reason of tax benefit will reduce the choice of CSR activities i.e., companies start to concentrate only on those activities which gives maximum tax benefit. In short, tax deductions for CSR expenditure can be claimed only through Sections 30 to 36 and 80G of the IT Act.

Summarizing, if the CSR activities are closer to the company's core mission, agency problems and transaction costs can be mitigated by leveraging on organizational knowledge and internal monitoring systems. Conversely, if the CSR initiatives have less centrality to the company's core mission, then the application of governance forms involving a partial or a total outsourcing of these initiatives may be more likely, because of a potential lack of organizational knowledge and/or the inadequacy of internal control systems. Hence, resource availability, transaction costs, and firm capabilities may represent interconnected aspects underlying more or less extensive collaborative governance modes for CSR projects.

13.5 MAKE AND BUY DECISIONS

The make-or-buy decision is the act of making a strategic choice between producing an item internally (in-house) or buying it externally (from an outside supplier). The buy side of the decision also is referred to as outsourcing. In the context of CSR, 'make' means internalization of CSR i.e., all CSR activities will be done by the company on its own while 'buy' means all CSR activities of the company will be done by some outside agency.

The organization of Corporate Social Responsibility (CSR) initiatives deals with a 'make' or 'buy' trade-off among in-house solutions instead of a partial (collaboration) or total (outsourcing) externalization of such activities. From an organizational point of view, it can be seen as a tradeoff between leveraging on internal resources and resorting to the market. As known, for efficiency, companies should internalize those activities they are able to perform better than the market, leaving out of their organizational boundaries the initiatives that require resources not available or too costly to build internally. Therefore, the internalization of CSR projects can be an option consistent with the target of optimal resources allocation as it can mitigate the inefficiency caused by transaction and agency costs.

If the CSR activities are closer to the company's core mission, agency problems and transaction costs can be mitigated by leveraging organizational knowledge and internal monitoring systems. Conversely, if the CSR initiatives have less centrality to the company's core mission, then the application of governance forms involving a partial or a total outsourcing of these initiatives may be more likely, because of a potential lack of organizational knowledge and/or the inadequacy of internal control systems. Hence, resource availability, transaction costs, and firm capabilities may represent interconnected aspects underlying more or less extensive collaborative governance modes for CSR projects.

Activity 3

Visit a CSR Department of any company near your residence and write about how they arrive at the make or buy decisions for CSR activities.

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13.6 ANNUAL REPORTING ON CSR

Role of CSR Committee in Annual Reporting

"The new Act requires that the board of the company shall, after taking into account the recommendations made by the CSR committee, approve the CSR policy for the company and disclose its contents in their report and also publish the details on the company's official website, if any, in such manner as may be prescribed. If the company fails to spend the prescribed amount, the board, in its report, shall specify the reasons.

The other reporting requirement mandated by the Government of India, including CSR is by SEBI which issued a circular on August 13, 2012, mandating the top 100 listed companies to report their ESG initiatives. These are to be reported in the form of a BRR as a part of the annual report. SEBI has provided a template for filing the BRR. Business responsibility reporting is in line with the NVG published by the Ministry of Corporate Affairs in July 2011. Provisions have also been made in the listing agreement to incorporate the submission of BRR by the relevant companies. The listing agreement also provides the format of the BRR. The BRR requires companies to report their performance on the nine NVG principles. Other listed companies have also been encouraged by SEBI to voluntarily disclose information on their ESG performance in the BRR format." (PWC, 2013)

FORMAT FOR THE ANNUAL REPORT ON CSR ACTIVITIES TO BE INCLUDED IN THE BOARD'S REPORT

1. A brief outline of the company's CSR policy, including overview of projects or programmes proposed to be undertaken and a reference to the web-link to the CSR policy and projects or programmes.

2. The Composition of the CSR Committee.

3. Average net profit of the company for last three financial years

4. Prescribed CSR Expenditure (two per cent ofthe amount as in item 3 above)

5. Details of CSR spent during the financial year.

   (a) Total amount to be spent for the financial year;

   (b) Amount unspent, if any;

   (c) Manner in which the amount spent during the financial year is detailed below.

1	2	3	4	5	6	7	8
S. No.	CSR project or activity identified	Sector in which the project is covered	Projects or programmes 1. Local area or other 2. Specify the state and district where projects or programmes were undertaken	Amount outlay (budget) project or programme wise	Amount spent on the projects and programmes Sub Heads: 1. Direct expenditure on projects and programmes 2. Overheads	Cumulative expenditure upto the reporting period	Amount Spent: Direct or through implementing agency
	Total						

- Give details of the implementing agency

6. In case the company has failed to spend the two per cent of the average net profit of the last three financial years or any part thereof, the company shall provide the reasons for not spending the amount in its Board report.

7. A responsibility statement of the CSR Committee that the implementation and monitoring of CSR Policy, is in compliance with CSR objectives and Policy of the company.

Sd/, (Chief Executive Officer or Managing Director or Director)	Sd/- (Chairman CSR Committee)	Sd/- (Person specified under clause (d) of sub-section (1) of section 380 of the Act) (wherever applicable)

13.7 SUMMARY

In this unit you have read about the formation of a CSR Department, its various functions and its role in maintaining compliance protocol. You have also read about the roles and responsibilities of the Board which includes approving CSR policy, to ensure that the activities mentioned in the CSR policy fall within the purview of the activities included in Schedule VII and also to ensure that the activities mentioned in the CSR policy are undertaken by the company. You also read about the meaning of make and buy decisions and annual reporting on CSR.

13.8 KEYWORDS

Board of Directors : Section 2 (10) of the Companies Act, 2013 defined that "Board of Directors" or "Board", in relation to a company, means the collective body of the directors of the company.

External and Internal CSR	:	External CSR means efforts directed towards external shareholders and Internal CSR means efforts directed towards employees.
Make and Buy in relation to CSR	:	The make-or-buy decision is the act of making a strategic choice between producing an item internally (in-house) or buying it externally (from an outside supplier).
National Voluntary Guidelines (NVGs)	:	The NVGs are an aspirational and comprehensive guideline to encourage responsible business behaviour in India. The NVGs, a set of 9 principles, cover a broad array of social, economic, environmental and governance issues and developmental priorities.
Environment, Social, and Governance (ESG) initiatives	:	ESG focuses to approach and address issues fitting into the categories of environment, social, and governance.

13.9 SELF-ASSESSMENT QUESTIONS

1. Write any three responsibilities of a CSR committee.
2. What are the details of the CSR spent that have to be included in the Board's report?
3. What is the difference between 'make' and 'buy' decisions?
4. How has the CSR spending pertaining to COVID-19 been inculcated in the Act?
5. Who is the competent authority to approve the CSR policy?

13.10 REFERENCES AND SELECTED READINGS

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UNIT 14 CSR AND SUSTAINABLE DEVELOPMENT

Objectives

After reading this unit you should be able to:

- Explain the concept of sustainable development
- Examine the key challenges facing sustainable development
- Describe the concept of Corporate Sustainability
- Analyze the Corporate Response to Sustainable Development
- Discuss the importance of Social Audit

Structure

14.1 INTRODUCTION

Sustainable development is a very significant concept underlying global and national environmental policy and it is a macro concept. The management science approach of Corporate Social Responsibility (CSR) and Corporate Sustainability (CS) is a micro concept at firm and business level. Sustainable development has been defined as development which meets the need of the present generation without compromising the need of future generation. This concept has its origin in World Commission on Environment and Development (WCED) Report, **"Our Common Future."**

Sustainable Development gained further impetus with the Rio Conference in 1992 which laid emphasis on three pillars of sustainability namely economic, social and environmental imperatives.

The Corporate response to sustainability is in terms of Corporate Social Responsibility (CSR) and Corporate Sustainability (CS). Corporate sustainability implies that in order to sustain itself companies should maintain its competitiveness and retain profitability. Companies' products, processes and procedures should include economic, social and environmental dimensions. In this unit we shall discuss different aspects of sustainable development.

14.2 DEFINITION

Sustainable Development occupies a very important place in domestic and international environmental policy. In the present-day environmental condition earth's carrying capacity has become limited in the light of present levels of technology, population and social organization. The need of the hour is to generate effective policy initiatives with respect to sustainable development. Moreover, most of the economic practices followed by developed countries and under developed countries are unsustainable even when the developed countries possess the know how to operate sustainably. The remedy is to follow an efficient pattern of resource use by all the Governments and Corporations.

William Nitze in his work "The Economic case of Sustainable Development" has offered a contradiction of popular opinions about sustainable development. According to him the actual obstacles to change are lack of adequate information, training and incentive and that the sustainable practices are not more expensive than the present-day industrial processes. He targets public development institutions to focus on innovation, rather than lend huge funds for incremental costs. He also emphasizes that the clear technologies are very competitive. An effective environmental policy needs to be evolved by World bodies like World Bank and United Nations which caters to core issues like corporate interests, technology transfer and financing sustainable development. Corporations which take an initiative in environmental stewardship are likely to be front runners in the global economy (Fernando, 2009).

The most popular definition of sustainable development is the one provided by the World Commission on Environment and Development (WCED) in their 1987 report, Our Common Future, 'development that meets the needs of the present without compromising the ability of future generations to meet their own needs.' The WCED definition was extensive enough to include all types of need. Further, to influence the institutional and corporate path to Sustainable Development the approach based on three pillars of sustainability which focuses on the economic,social and environmental considerations into the model have been further consolidated ever since the Rio Conference in 1992.

The 'three pillars' influence individually in the short run but they need to be satisfied simultaneously in order to attain sustainability in the long run. These three dimensions are inter-related and influence and support each other.

(i) environmental system or ecological or biosphere system

(ii) economic system or the economy, the market

(iii) the community social system or society.

Thus, sustainable development has been defined as the reconciliation of the three imperatives derived from three systems. This model has been graphically represented with the help of the figure 14.1 given below.

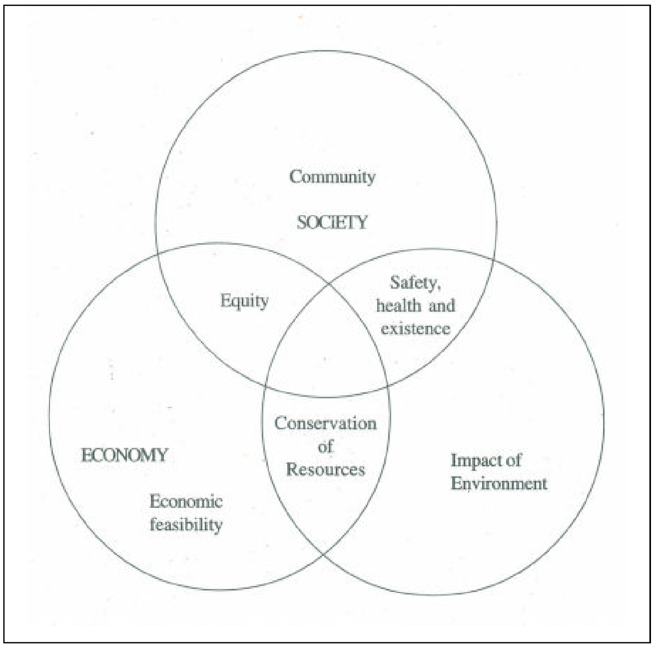

Figure 14.1 Sustainable Development

The three pillars of sustainable development do not discuss the capital approach to sustainability. According to this approach sustainable development depends on maintenance of different forms of capital stock over time. The three main kinds of capital have been identified as economic, natural and social and there is growing debate over substitutability between different kinds of capital. This concept has been grouped into two main schools of weak and strong sustainability.

The weak sustainability approach assumes that the three forms of capital are equivalent and loss in any one kind can be substituted by others. E.g., manmade technology can substitute natural capital (UN et al. 2003). This has been explained by the use of chemical fertilizer to compensate the loss of fertility in soil. This approach permits the degradation of natural resources and believes in increasing stocks of other forms of capital. The strong sustainability approach assumes that there is no substitutability for some forms of capital especially natural capital. The different forms of capital are complementary but not perfect substitutes and hence they are required to be conserved independently of one another. The example of nature has been taken to substantiate this view. Forest for example is the store house of oxygen as it absorbs Carbon Dioxide (CO_2) and releases Oxygen, it preserves the fauna and flora and contributes to water cycle and as such cannot be replaced by other forms of capital. With respect to this, a useful definition of sustainability is provided by Costanza et al.: 'the amount of consumption that can be continued indefinitely without degrading capital stocks – including natural capital stocks'.

A prescriptive definition of sustainable development which incorporates sustainability and does not substitute different forms of capital has been discussed. This definition is very popular as it takes into account economic, social and environmental decisions:

'Sustainability is a relationship between dynamic human economic systems and larger dynamic, but normally slower-changing ecological systems, in which a) human life can continue indefinitely, b) human individuals can flourish, and c) human culture can develop; but in which the effect of human activities remains within bounds, so as not to destroy the diversity, complexity, and function ofthe ecological support system'.

Another definition of Sustainable Development has been given by the CompanyABN-AMRO "To live our values and business principles to meet the needs of the organisation and our stakeholders today, thus protecting, sustaining and enhancing human, natural and financial capital needed in the future".

Activity 1

a) Differentiate between the weak and strong sustainability approaches.

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b) Which according to you is a better approach? Explain giving examples.

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14.3 KEY CHALLENGES FACING SUSTAINABLE DEVELOPMENT

After discussing the possible definitions for sustainable development let us look into the key challenges facing sustainable development.

Firms behave irresponsibly by polluting physical environment when they release smoke and gas into atmosphere and toxic effluents into nearby rivers, lakes. They also discharge waste matters in the surrounding land. It is essential that companies should necessitate steps to increase their social accountability and responsibility. The government is becoming increasing conscious of the harms caused to the environment and ecological balance by firms in pursuit of their business by the indiscriminate felling of trees and wiping of vast forests by firms for earning profitability. As a result, the ecological balance of the adjoining areas has been disturbed leading to rampant flood. While some areas have become flood prone the other areas have become drought affected. Due to disturbance in their natural habitat the rare fauna and flora are becoming extinct. The age-old pattern of livelihood derived from agriculture and traditional arts and crafts have been destroyed. Now we need economic development with environmental development. Industries and firms carrying outproduction should also set up effluent treatment plant (ETP) and environmental management system (EMS) so that toxic wastes are first treated before being released in the environment.

The challenge to sustainable development practices being followed by a company have been summarized below: -

- What are the ways for a business firm to follow sustainable development approach?

- What does this mean practically?
- How can sustainable development practices be implemented?

Three ways to address sustainable development and its practical implications:

- Partial Association: Here the company follows the minimum legal requirements as imposed by various acts and does not strictly associate with sustainable development agenda. However, mere compliance with the legal framework itself leads to following sustainable development norms like Environment Impact Assessment (EIA) and Environmental Management Systems (EMS).
- Confront risks: Environmental risks threaten in the form of social, economic and environmental risks like poverty, population and pollution respectively.
- Company identifies these risks and develops a defense mechanism to fight these risks thus addressing the underlying sustainable development issue.
- Play a responsible role: Here the Company occupies an important role and addresses sustainable development issues like climate change, carbon emissions and contribute towards development of renewable technologies and maintain energy efficiency.

Table 14.1 Parameters of Sustainable Development

Challenges	Framing a consistent sustainable development process and programme integrating local and global responsibilities	Stipulating the sustainable development norms to be followed	Confronting competitors who follow different norms for sustainable development	Value addition by implementing sustainable development norms and helping company earn profit.
Measures	Regulatory government norms	Introduction of sector wise initiatives	Access to capital and incentives both monetary and non- monetary	Greater awareness of stakeholders towards implementation of sustainable development practices
Barriers	Lack of management vision	Fear of incurring additional costs	The Complex method of implementation	Opposition from other stakeholders

Activity 2

a) Explain what you understand by the term ETP and EMS.

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14.4 THE CORPORATE RESPONSE TO SUSTAINABLE DEVELOPMENT

After discussing the key challenges facing sustainable development let us examine corporate responsibility towards sustainable development norms.

Corporate Social Responsibility (CSR) is a dynamic concept which is in its evolutionary phase. Corporate Social Responsibility has been identified as business contribution to sustainable development. It defines ‘sustainable development as a measure to develop company specific mechanism to become economically, socially and ecologically friendly. The awareness needs to be created among the future generations also.

The World Business Council for Sustainable Development defines Corporate Social Responsibility as: “Corporate Social Responsibility is the continuing commitment by business to behave ethically and contribute to the economic development while improving the quality of life of the workforce and their families as well as the local community and the society at large.” The key issues with which CSR usually deals are labour protection, community development, stakeholder’s rights, business ethics, supplier relation, human resource management practices, health and safety, human rights and environmental protection. Industries by following the Corporate Social Responsibility approach create (i) greater credibility (ii) improved branding (iii) stronger ties with communities (iv) improved employee loyalty (v) enhanced profitability (vi) increased investors confidence.

The Companies which follow CSR practices become accountable for their operations to the stakeholders namely customers, employees, suppliers, shareholders, communities and the environment. These Companies thus try to establish a balance between the three imperatives economic, social and environmental and also increase their credibility towards the shareholders and stakeholders. Corporate Social Responsibility also shares the features of related concepts like Corporate Sustainability, Corporate Accountability, Corporate Responsibility, Corporate Citizenship, Corporate Stewardship, and so on.

One of the unique contributions of CSR is that it propagates sustainable practices.These practices are not only implemented, i.e., systems to plan, implement and evaluate are developed, but close monitoring in order to align with the stipulated norms is also maintained. Corporate Accountability includes the assessment of all plans, process, policies and programmes. The Company is accountable not only for its own actions but also for the actions of all actors and factors throughout the Company’s value chain. Greater accountability improves the Companies image,credibility and confidence among its stakeholders. There is greater emphasis on quality consciousness, certification increasing the need for transparency to improve social, economic and environmental performance. CSR is an effort on behalf of the Companies to build a commitment towards society in their strategic decision making. Thus, the Companies should be ethically oriented in their decision-making in such a way that they contribute towards social welfare.

Businesses are increasingly integrating sustainability into their business plans and connecting results to the Sustainable Development Goals (SDGs). Contrary to the majority of governments and civil society organizations, corporations do not instantly connect sustainability to their goal or simply read the SDGs and sign on. They undergo a conscious evolutionary process. First, there needs to be a gradual recognition of the significance of environmental, social, and governance (ESG) issues to the company's commercial interests. This helps people comprehend the importance of the sustainability as a whole and, for certain businesses, helps them recognize how certain SDGs align with their corporate objectives.

Embedding Sustainability

Companies embed sustainability in their corporate strategies through three mechanisms:

- The initial step is strategic integration. This happens as the corporate strategy shifts from concentrating just on creating value for shareholders to providing value for all stakeholders. It entails integrating ESG into the corporate plan combined with financial rewards.
- Operational Integration involves identifying and communicating specific, measurable, time-bound goals to hold the company accountable for the strategy. By including stakeholders in identifying and addressing sustainability issues that are most likely to have an impact on the business and where the firm can make a difference, companies are able to identify their major impact areas.
- Organizational Integration is a complex process that extends from the boardroom to the loading dock. It involves strong thought leadership from the board and senior company executives and buy-in all the way down the line. At the governance level, companies execute this function through a board committee on sustainability, an executive providing oversight on sustainability, and/or cross-functional sustainability management.

Historically Corporate Social Responsibility can be divided in terms of following three generations: -

The initial generation of CSR contributed in philanthropic activities which comprised of mainly charitable donations towards social, economic and related cause as part of corporate citizenship strategy. There are various instances in which Indian family-owned business houses like TATA's have contributed to social cause like rural development, education, rehabilitation, health and sports activities of employees for down trodden. The other Indian Company's like the Birla's, the Mahindra's, the Godrej Group, TVS Group, the Bajaj's have contributed in philanthropic activities like opening schools, colleges for education, hospitals, dispensaries for the sick and age-old homes etc. Added to this, is the engagement in the philanthropic activities for social and hence sustainable development by banks, PSU's and new companies like Infosys, Wipro and others.

The second generation of Corporate Social Responsibility witnesses Companies engaged in social responsibility as a long-term business strategy. It is developed as a regular practice rather than once in a while approach pertaining to social, economic and environmental matters.

The third generation would require greater emphasis of companies/financial institutions in alleviating poverty and environmental degradation. This requires a concerted effort by leadership Companies to remold entire market to undertake sustainability measure rather than individual initiatives of Companies. CSR now addresses issues like business ethics, human rights and labour rights with further expansion in financial and environmental domain. The two basic approaches of CSR have been discussed below.

Triple Bottomline Approach of CSR

To maintain Corporate Sustainability and exercise measures for Corporate Social Responsibility the concept of Triple Bottom line (TBL) is acquiring importance among Corporates. The term has been introduced by John Elkington in 1997. The concept of Triple Bottom line (TBL) emphasizes that Companies in addition to making profit which is the economic bottom line, they should also contribute to two non-economic bottom lines namely environmental and social (ICSI, 2007). This requires planning, implementing and evaluating business activity in terms of their impact on profitability (economic), social and environmental dimensions. It is required to apply the concept of Triple Bottom line (TBL) due to the following reasons:

1. Growing consumer awareness towards corporate social behaviour
2. Increasing demands for greater transparency.
3. Regulatory environmental framework
4. Responsible media
5. Growing Corporate Social Response

Thus, the Triple Bottom-line approach aims to address the three dimensions of sustainable development simultaneously. Moreover, any firm which is committed towards Corporate Sustainability and Corporate Social Responsibility should consider the following principles.

i) Environmental principle - the rate of absorption of natural resources should be according to its carrying capacity and renewability.

ii) Social principle - Companies should consider the human and social capital in the area of their operation.

iii) Economic Principle - the company should be accountable to its shareholders and stakeholders.

According to the concept of strong sustainability the triple line approach is not sufficient to explain the concept of sustainable development (SD) at firm level; therefore, there is a need to understand a new approach called the hierarchical model.

Hierarchical Model

Hierarchical model lays emphasis on prioritizing decisions based on scarcity of resources, resource boundaries and exigencies of circumstances. Hierarchical model helps in prioritizing and facilitates tradeoffs among different aspects of sustainable development. For example, Montreal Protocol introduced phase out regulation of pollutants like chlorofluorocarbons (CFCs) which caused depletion of ozone layer.The global ban on products emitting CFCs created direct impact on industries, firms and employees, generating a tradeoff between ecologically friendly approach, economic values and social issues. A prioritization among three aspects of sustainability gives emphasis to environmental protection. This has forced many companies to stop production and divert to other activities. Even the Kyoto Protocol sets limits on carbon emissions emphasizing on environmental considerations and sidelining economic and social goals.

At the Company level adhering to environmental norms involves trade-offs between the three domains – social, economic and environmental. As each Company has to monitor the discharge of effluents (smoke, particulates, water etc.) such that it is less than the absorption capacity of natural systems and does not exceed the carrying capacity. Firms are forced to face this trade-off in everyday activities. The technological efficiency is required to grow so that growth of sales is not ignored. It is essential to realize that market (economic) growth is equally important as environmental growth as also the social imperatives. It is in this light that social auditing becomes important.

Activity 3

Corporate Social Responsibility has acquired significant position in many Companies. Discuss this statement taking example of a foreign bank.

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14.5 SOCIALAUDIT

Social audit is a planned study and estimation of an organization's social purpose. Social auditing has been defined by the New Economics Foundation (NEF) as, the process whereby an organisation can account for its social performance, report on the performance and improve that performance. It assesses the social impact and ethical behavior of an organization in relation to its aims and those of its shareholders.'' According to Social Enterprise Partnership (UK), "Social Audit is a method for organizations to plan, manage and measure non-financial activities and to monitor both the internal and external consequences of the organization's social and commercial operations."

Thus, it can be stated that social audit is the audit or estimation of social cost due to adverse factors affecting the employees, labourers of an organization. These adverse factors are health related problems like consumption of contaminated water due to pollution, occupational diseases caused due to inhalation of poisonous gases, welding fire seen with bare eyes, excessive noise affecting ear cords added to this is the loss of non- renewable energy resources.

Social audit also analyses whether the benefit of economic development has percolated to the disadvantaged section in terms of jobs, development of backward areas and township for employees. While making comparative evaluation through social audit it is desired that social benefit should exceed social cost. Corporate organizations are frequently observed by whistle blowers like employee unions, consumer associations, environmentalists, legislatures (legislative enactments) to mold their social objectives.

Social audit also requires identification of social responsibilities and making disclosures in annual financial reports and Corporate Sustainability report. As social auditing is estimation of social cost and social benefit and in order to measure them, they are quantified in monetary terms. Social responsibilities like social service to workers, environmental measures for pollution control, safeguards adopted while producing products to ensure user safety are all quantified.

Social audits examine a wide range of organizational components in order to gauge, document, and ultimately enhance an organization's social performance. They are an effective tool for promoting social accountability, and when authorities and management are scrutinized, corruption and other abnormalities in administration and finances are occasionally found.

Social audits take a look at many different factors within an organization to measure, report, and ultimately improve an organizations' social performance. They are a powerful tool for social accountability, with the scrutiny of the actions of officials and management sometimes leading to the discovery of administrative and financial irregularities and corruption.

Some of the items that social audits examine are included below:

- Records of charitable contributions
- Volunteer events
- Transparency within the organization
- Work environment
- Salaries and wages of the workforce
- Community initiatives
- Diversity in the workplace
- Accounting and financial transparency

It should be highlighted that there are no set guidelines or requirements to follow, and businesses frequently enjoy a great deal of latitude when it comes to putting social audits into practice. For instance, there is no obligation that social audits be made available to the general public or stakeholders; hence, management may just use them internally to enhance the organization's social initiatives. It's crucial to realize that a social audit does not preclude looking at accounting and financial records because they are just as significant to the process as some of the other issues discussed above.

In India, Companies like Tata Group, Hindustan Lever Ltd, and Infosys have become increasingly conscious of their social auditing and social responsibility.

After analyzing, the concept of social audit let us examine the relationship of ethics to corporate social responsibility.

14.6 ETHICS AND CORPORATE SOCIAL RESPONSIBILITY

Corporate Social Responsibility (CSR) is essentially an ethical concept which has also been reinforced in terms of corporate sustainability. Ethical code of conduct deals with morality i.e., doing right or wrong. The three pillars of sustainability also emphasize that corporate organizations should follow the ethical code of conduct while pursuing economic, social and environmental imperatives.

The ethical implications of strategic decisions should be examined to improve corporate social responsibility. Companies like Enron, World Com and Satyam are responsible for financial debacle and have behaved unethically. There business expansion initiatives have ignored social accountability and sustainable development.

Company's code of ethics is mentioned in its annual reports, mission statements and corporate sustainability report. Companies like Johnson and Johnson follows the company code of ethics when they confront ethical dilemma. Managers of companies which do not take their ethical code of conduct seriously first safeguard their own interest before protecting stakeholders' interest.

Socially responsible and sustainable companies are more profitable, less risky, with committed workforce and enjoy better reputations with the stakeholders and shareholders alike. Let us know understand relationship between the terms sustainable development and corporate sustainability.

14.7 SUSTAINABLE DEVELOPMENT AND CORPORATE SUSTAINABILITY

While the concept of sustainable development originated at macro level, corporate sustainability and corporate social responsibility originated at micro level of firms and business. The environmental threats like Ozone depletion, climatic change, pollution, scarcity of non- renewable resources, and destruction of bio-diversity threaten the stake of future generation. The Johannesburg Summit of 2002, has raised the question of an equitable social distribution of resources and reduces the emerging gap between developed and developing countries. This requires a drastic change in our production and consumption pattern based on judicious use of three sustainability imperatives namely economic, social and environmental.

Realizing the seriousness of the looming threat the sustainability goals have been imbibed by various government and international agencies. The European Union had adopted various policies and programmes 1992 ever since the launching of Fifth Environmental Action Plan. Even the developed countries like United States, European nation; Canada and Japan have from time to time set up agencies for example the setting up of Environmental Protection Agency by US and Environmental Agency like European nation. Many Conventions and protocols like the Kyoto Protocol, the Convention on Biodiversity, the Basel Convention has been set up at national and international level.

Companies have become increasingly conscious of environmental threats and have pursued the path of sustainable development. Many big industrial houses have initiated eco friendly processes and products; introduced strategies for sustainable development organized associations and networks and adopted best practices. The World Business Council for Sustainable Development (WBCSD) has mobilized 180 global companies from more than thirty countries who have taken a united stand to pursue sustainable development goals based on economic, social and ecological imperatives.

Most of the Companies like TATA, Infosys have incorporated sustainable development goals in their vision and mission statements with emphasis on development of environmentally friendly and energy efficiency technologies.Companies are also following the normal international standard ISO 14000 norms for adherence to environmental management standards.

A debate on the modalities of businesses and firms to contribute to sustainable development developed after United Nations Conference on Environment and Development in 1992. It was here that a different view of Corporate Sustainability developed based on the goal of value creation with the social and environmental considerations. According to the Dow Jones Sustainability Index, Corporate Sustainability is a business approach that creates long term shareholder value by embracing opportunities and managing risks deriving from economic, environmental, and social developments. A sustainable enterprise is 'one that contributes to sustainable development by delivering simultaneously economic, social and environmental benefits – the so-called triple bottom line.'

Following conclusions about Corporate Sustainability can be drawn from these definitions: -

Firstly, corporate sustainability means that in order to sustain itself companies should maintain its competitiveness thus preserving the firms' entity.

Secondly, the firm should also retain its profitability i.e., economic sustainability with social and environmental sustainability.

Thirdly, Companies should assimilate into its business operations: sustainable processes, products and procedures in order to include environmental and social dimension thus emphasize the 'triple- bottom-line concept.'

Hence, from these conclusions we can ascertain that an integration of the macro sustainable development concept and the management discipline approach to corporate sustainability and corporate social responsibility is essential.

14.8 SUMMARY

Sustainable Development, has occupied a key position in many disciplines. In Corporate Management also the key issue of corporate sustainability has acquired an important position. The threat to natural environment is caused due to pollution, climatic change, ozone depletion, destruction of bio- diversity. This has forced environmentalist and management thinkers to think of sustainability at large. Two approaches to sustainability have been developed namely the weak and strong sustainability approach. The weak sustainability approach propagates that natural capital can be compensated with other forms. While strong sustainability advocates that different forms of capital are complementary and not perfect substitutes and hence cannot be substituted. There are various challenges to sustainable development namely the challenge of planning, implementing and the barriers faced in implementation.

The corporate response to sustainable development is in the form of corporate sustainability and corporate social responsibility. Within this broader concept the concept of Triple Bottom line and Hierarchical Model has been evolved.

According to the Triple Bottom line approach business entities should not consider mere profit which is the pure economic bottom line, but also two additional bottomlines- environmental and social. Hierarchical Model states that at company level adhering to environmental norms involves trade-offs between the other two domains –economic and social. Companies have also realized the need for social audit, which is an estimation of social cost and social benefit. However, while making comparative evaluation social benefit should exceed social cost.

Ethics has also been integrated with corporate social responsibility and corporate sustainability. Ethical companies are those which follow ethical code of conduct and are socially responsible and sustainable. Thus, sustainable development is a macro concept and corporate social responsibility and corporate sustainability are micro concept originating at firm and business level. Thus, we can sum up that a study of sustainable development, corporate sustainability and corporate social responsibility calls for integration of the three dimensions.

14.9 KEY WORDS

Sustainable development : development which meets the needs of the present generation without sacrificing the need of the future generation

Triple bottom line : three features of sustainability namely social, economic and environmental

Hierarchical Model : explain trade-off between the three imperatives of sustainability

Social Audit : monetary estimation of social cost and social benefit.

Whistle blower : a person who reports illegal or unethical behavior and takes a stand against unscrupulous managers or other stakeholders who are pursuing their own ends.

14.10 SELF ASSESSMENT QUESTIONS

1. Differentiate the term sustainable development from corporate sustainability. Explain giving example from an Indian Company.
2. What is the role of ethics in sustainable development? Do Companies follow unethical practices?
3. What were the initiatives taken during the Rio Conference of 1992? Also substantiate developments of Montreal and Kyoto Protocol.
4. Discuss the chief features of the Corporate Sustainability Report published by any two Indian Companies.
5. List any five Companies which have ETP and EMS.

14.11 REFERENCES/FURTHER READINGS

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